Data Laws and Regime Would Be Critical for Creating the Digital Economy of India

India has been flirting with very restrictive data control and management policies, as seen in the draft Data Protection Law and draft E-Commerce Policy proposed by DPIIT. India's current evolving policy on protection of personal data is not in the best interests of economic growth by building a digital economy. It leans too much towards protection of personal data and pays no consideration to its effect on legitimate businesses. Likewise, the attempt to provide the government access to a lot of business data will create large disincentives to businesses in the country.

The proposals to deny access to important business data in the name of personal data and share a lot of data with the government will create a regime worse than the licence permit raj, which destroyed private enterprise in the country's industrialization process. Personal data should be defined very strictly. Further, there should be a more liberal and easier process of obtaining the consent of the person concerned for use of personal data. Willingly provided information while filling up an application or interacting otherwise should suffice and there should be a requirement to obtain consent that is 'free, informed, specific, clear and capable of being withdrawn'. Misuse of personal data can be akin to breach of privacy.

Technology itself seems to be evolving the right way to balance the interest of individuals to own their data and capitalize on it. It is going to be possible for each individual to keep all her data in a protected mode under her control. Such data can be shared and accessed by any businesses she is willing to do business with. This kind of arrangement would obviate the need for creating a regulated system of data fiduciaries to collect, hold and share data.

To digitalize the economy and wrest the best advantage in the digital transformation of the world, India must scrap both these proposals and bring in a modern, liberal and facilitative law for data management and use,